

Purging vs. Embargo

The problem

In finance, labels (y) are often built using future information (ex: triple-barrier method).

Standard k-fold CV shuffles data randomly, which means:

- Training samples can be adjacent to testing samples
- If label window overlap there is leakage

Purging

Remove training observations that overlap with test set.

- say test fold spans $[t_1, t_2]$
- any training sample with span $[t_i, t_i+h]$ with $t_i \in [t_2, t_2]$ or $t_i+h \in [t_2, t_2]$ drops

Embargo

Removes extra observations after test set.

- even if there's no direct overlap after test set with training data, financial data is often autocorrelated.
- data directly after test set contains similar information

